Sanjay Malhotra said in a television interview recently that nearly half the deposits have a five-year tenor, while around 42% are for three-year to less than four-year period.

So, as deposits start maturing in three years and depositors start redeeming, the rupee could come under pressure, more so if external conditions remain unfavourable.

"If high interest rates prevail in developed economies due to geopolitical reasons, we will see pressure on the Indian currency. The RBI may buy dollars in the coming years to reduce its forward liabilities, which will become due from 2029 onwards," says Murthy Nagarajan, Head – Fixed Income, Tata Asset Management. He feels the RBI has to do a "fine balancing act" of keeping growth high and keeping CPI inflation around 4% or below, without compromising on macro-economic stability. "Maintaining a positive real interest rate of 1.5% would be important to attract capital flows—both FDI and FPI—which should stabilise the currency at current levels," he says.

There is also the hedging cost (forward premium) that the RBI will incur that typically banks pay to guard themselves from forex losses. This is estimated to be 2.5-3.5% per year.

Banks typically hedge the currency risk on FCNR (B) deposits by using buy/sell foreign exchange swap facilities of the RBI. Any risk of currency depreciation will shift to the central bank, in turn protecting the banks should the rupee depreciate in the future.

However, Soumya Kanti Ghosh, Member, 16th Finance Commission and Group Chief Economic Adviser, State Bank of India, is not too worried on the hedging costs for the RBI.

Ghosh says RBI's deployment of, say, $100 billion in globally investible avenues at a yield of, say, 4% over five years should accrue profits of $20 billion, which would offset the outgo on hedging ($15 billion) and actually add some profitability of around $5 billion (about ₹50,000 crore) to its balance sheet at current estimates.

However, the RBI has also said that it will only cover the principal amount of the deposits and not the interest component. So, banks will have to bear the hedging cost on the interest component, which is expected to increase the effective cost of raising the FCNR (B) by around 20 basis points, say industry watchers.

Economist Barua says the outflows will certainly be a problem three years on, but the current focus should be on short-term stability.

"At certain moments when the rupee market is in a crisis situation, short-term stability matters more than long-term consequences," he says. "Long-term consequences are there and will have to be managed carefully."

Rajkotia of Moody's says RBI has several years to prepare for these outflows and points out that the 2013 FCNR (B) experience suggests that large maturities can be managed without major market disruption.

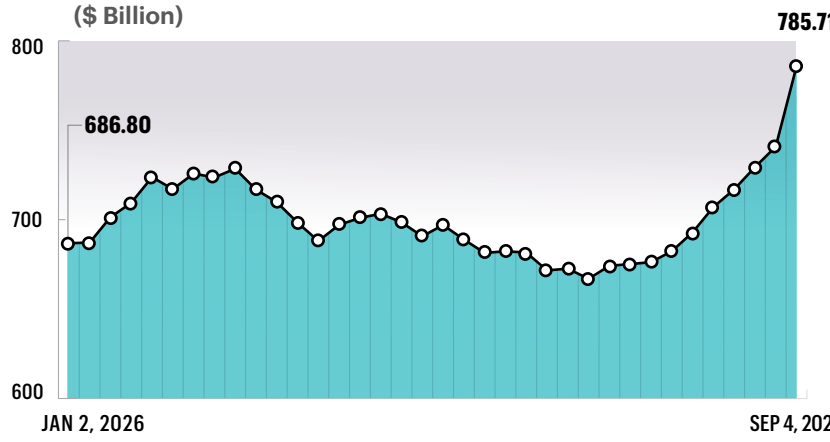
"A portion of the existing foreign reserve stock could be earmarked against these liabilities, helping to mitigate concerns that deposit maturities or debt repayments could trigger a sharp increase in dollar demand and exert pressure on the forex market down the line," says Rao of DBS Bank.

But ISB's Tantri has a different take: "You (raised FCNR (B) deposits) in 2013 and repaid in 2016. Fortunately, nothing happened. But are we sure that in 2030, there will be no geopolitical crisis? So, were we in such a bad situation that we had to take such a risk is the question we have to ask today." BT

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THE RISE OF THE RESERVES

• Forex reserves hit a low of $666.93 billion on June 26, before rising to $785.71 billion on September 4



SOURCE RBI